

Flow 2: Cardholder Account Management PRD

Product Area: Bank / Program Admin

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Status: Draft

1. Purpose & Scope

This PRD defines the requirements for **Cardholder Account Management** in the Bank / Program Admin console — the operational tools used by program admins to create, view, modify, and lifecycle-manage individual cardholder accounts.

This document covers:

- Account creation, view, suspension, closure
- Credit line management (initial limit, adjustments)
- Card lifecycle actions (issuance, freeze/unfreeze, replacement, reissue)
- Cardholder profile and contact data (address, phone, email, income)
- Review and approval of user-submitted profile changes
- Field-level compliance locking
- Adverse action and pending-state account dispositions

Out of scope

- UI layouts or screen designs
 - Application intake and underwriting decisioning (separate flow; this PRD assumes a decision has been made upstream)
 - Spend control configuration (see Flow 7)
 - Disputes (see Flow 3)
 - Autopay (see Flow 4)
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2. Goals & Success Criteria

Goal	Success Criterion
Single source of truth for cardholder account state	All cardholder-facing surfaces read from the same record updated here
Operationally efficient lifecycle management	Common actions (freeze, reissue, close) achievable in ≤ 3 clicks
Compliant adverse action handling	Every decline / closure carries the legally required notice fields
Auditable record of every account change	100% of state mutations have actor, timestamp, reason captured

3. Personas

- **Program Admin / Servicing Agent (primary):** Day-to-day operator handling account changes.
- **Risk / Compliance:** Approves limit changes outside threshold, reviews closures.
- **Cardholder (downstream):** Sees the effects in the consumer app — balance, available credit, card status, profile.

4. Functional Requirements

4.1 Account Creation

Triggered when an upstream decision (approve / pending / decline) needs to be materialized into an account record.

Required inputs

- Cardholder identity reference (KYC-verified customer ID)
- Card product (must reference a published product version from Flow 1)
- Initial credit limit
- Initial APR assignment (within ranges defined by the product)

- Decision state — **Approved, Pending Review, or Declined**

Approved state

- Account is opened
- Card(s) are queued for issuance (virtual immediate, physical via fulfillment)
- Cardholder-facing app is activated for this account

Pending Review state

- Account record exists but is in a holding status
- Cardholder is notified per program-configured notification policy
- Decision must be resolved within issuer-defined SLA (default 7–10 business days)

Declined state

Audit reference (Finding #19): the application flow must produce an adverse action notice; this admin flow is where it is materialized.

- An adverse action record is generated capturing:
 - Specific reason(s) for denial (must select from a controlled list aligned to ECOA / Reg B)
 - Credit bureau(s) used in the decision
 - Credit score used (if used) and score range
 - Date of decision
 - Statement of consumer right to a free credit report
- Notice is dispatched (mail and/or electronic per consumer's communication preferences) within 30 days of application
- The notice content is non-editable after dispatch; resends are logged

4.2 Account Viewing

A unified account detail view showing:

- Cardholder identity (name, DOB partial mask, contact info)

- Account status (Active / Suspended / Closed / Pending)
- Product and product version reference
- Credit limit, current balance, available credit, utilization %
- All cards on the account with individual statuses (Active, Frozen, Lost, Replaced, Closed)
- Open disputes count (link to Flow 3)
- Autopay status (link to Flow 4)
- Recent statements (link to Flow 6)
- Audit log of recent changes

4.3 Account Suspension & Closure

Suspend

- Temporarily blocks new transactions on all cards on the account
- Reason code required (controlled list: fraud investigation, delinquency, compliance hold, customer request)
- Cardholder is notified per program notification policy
- Statements, disputes, and balance display remain accessible to cardholder in read-only mode

Close

- Permanently closes the account
- Reason code required (controlled list)
- Cards moved to terminal status (cannot be reactivated)
- Outstanding balance remains payable; cardholder retains read-only access to history
- Closure date and final statement triggers are scheduled
- Reward forfeiture rules from product configuration are applied (see Flow 1 §4.2)

Rules

- Closure cannot be reversed; a new account requires a new application
- Closure of an account with an open dispute prompts a confirmation: "There are N open disputes. Closure does not affect dispute resolution. Continue?"

4.4 Card-Level Actions

Freeze / Unfreeze

- Freezes a specific card, not the whole account (unless it's the only card)
- Reason code required: **User-initiated** or **Bank-initiated**
 - > *Audit reference (Finding #9 & #10): the cardholder-facing UI must differentiate these two; this admin flow is where the distinction is recorded.*
 - For bank-initiated freezes, a sub-reason is required (suspected fraud, velocity flag, compliance, etc.)
 - Unfreeze requires the same actor role that froze, or step-up auth, depending on freeze reason

Replace / Reissue

- Reasons: Lost, Stolen, Damaged, Expired, Compromised
- New card is issued with new PAN and CVV; old card is moved to "Replaced" status and cannot transact
- Card art and product remain the same
- Recurring transactions / saved-on-file merchants are flagged for cardholder review (network token updates handled by network when applicable)

4.5 Credit Limit & Terms Management

Initial limit

- Set at account creation; bounded by product-level min/max from Flow 1

Limit adjustment (CLI / CLD)

- Admin enters new limit, reason code, and effective date
- **Increases above threshold (issuer-defined) require dual control (second approver)**

- Decreases require an explanatory reason and trigger a change-in-terms notice if the new limit is below current balance
- Cardholder is notified of all limit changes

APR / fee overrides for individual account

- Generally not permitted — APR follows product configuration
- Penalty APR application (delinquency-driven) is system-triggered, not manually adjusted
- Manual goodwill adjustments to fees are handled in Flow 6 (Statement & Billing), not here

4.6 Cardholder Profile & Contact Updates

Updatable fields

- Mailing address
- Phone number(s)
- Email address
- Communication preferences (email/SMS/mail opt-ins per channel)
- Stated income (cardholder-submitted, admin-reviewed)

Admin actions

- Direct edit (for fields not locked by compliance)
- Review queue for user-submitted changes:
- View the proposed change vs. current value
- Approve / Reject with reason
- Approval applies the change and notifies the cardholder
- Rejection notifies the cardholder with reason and remediation steps

Field locks

- Specific fields may be locked from cardholder self-service (e.g., legal name) and editable only by an admin with elevated permissions

- Lock status is configured per program

4.7 Audit Log

Every state change captures:

- Actor (user ID, role)
- Timestamp (UTC)
- Field changed
- Before value / After value
- Reason code
- Free-text note (optional)
- Source (admin UI, API, automated rule)

Audit log is queryable per account and exportable.

5. Business Rules

1. An account can hold multiple cards (e.g., physical + virtual; authorized users — though authorized users are post-MVP).
 2. Suspending an account suspends all cards; un-suspending restores each card to its prior status, not blanket "Active."
 3. An account in **Pending Review** cannot transact and is not visible to the cardholder as **Active**.
 4. Closing an account with a positive balance (overpayment) triggers a refund flow — out of MVP scope; admin sees a flag prompting manual refund processing.
 5. Reissue under "Compromised" automatically opens a fraud review case for the underlying transactions.
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6. Related Flows

Depends On	Reason
Flow 1: Card Program Configuration	Product, APR ranges, limit bounds, reward forfeiture rules
Flow 7: Spend Controls	Card-level controls layered on top of account
Flow 3: Disputes	Open disputes visible from account view
Flow 4: Autopay	Account closure disables autopay (per Autopay Rules §9)
Flow 6: Statement & Billing	Account state drives statement generation
Notification system	All admin-triggered cardholder notifications

7. Edge Cases

Case	Expected Behavior
Admin attempts to close an account with \$0 balance and active autopay	Autopay is auto-disabled, cardholder notified, closure proceeds
Cardholder reports a card lost while an unrelated dispute is open on it	Lost-card reissue proceeds independently; dispute case is unaffected
Admin attempts CLD that takes available credit negative	Confirmation required: "This will result in an over-limit condition. Change-in-terms notice required. Continue?"
Cardholder-submitted address change conflicts with KYC-verified address	Routed to compliance review queue, not standard servicing queue
Account in Suspended for delinquency — payment received clears delinquency	Admin reviews and unsuspends; not automatic in MVP
Adverse action notice delivery fails (returned mail)	Logged as compliance event; alternate-channel resend is triggered if available

8. Compliance Notes

- **ECOA / Reg B:** Adverse action notices must be issued within 30 days; the data captured in §4.1 (Declined state) is the source of truth for notice content.
- **FCRA:** Disclosure of credit bureau used and consumer rights to a free report.
- **Reg Z:** Change-in-terms notices (45 days for adverse changes) are triggered by APR/limit changes; this flow captures the change — the notification system

delivers it.

- **CFPB UDAP:** Field locks and dual-control thresholds reduce risk of unauthorized account modifications.
 - **GLBA:** All PII access logged.
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? 9. Open Questions

- Authorized users / supplemental cards — MVP supports primary cardholder only? —Yes
- Joint accounts — out of MVP scope? —Yes
- Should there be an automated CLI offer / "soft" CLI workflow in admin? (Currently manual-only.)
- Cardholder-initiated account closure — handled here or in a separate self-service flow?